

FORM TP 2018105

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MAY/JUNE 2018

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION

PRINCIPLES OF BUSINESS

Paper 01 – General Proficiency

1 hour 15 minutes

18 MAY 2018 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 15 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money that a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer



The best answer to this item is "income", so (C) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.

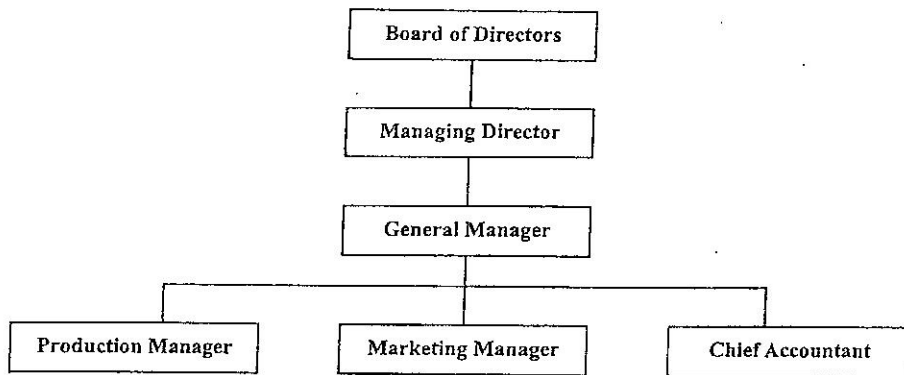
DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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1. Labour is BEST defined as the
 - (A) physical and mental capabilities used to perform tasks
 - (B) ability to carry out management functions effectively
 - (C) level of skills training received by individuals who are working
 - (D) total number of persons who hold jobs in government ministries
 2. Which of the following are NOT trading instruments?
 - (A) Cheques
 - (B) Credit cards
 - (C) Bills of exchange
 - (D) Money remittances
 3. The policies of a company are formulated by the
 - (A) auditors
 - (B) directors
 - (C) managers
 - (D) shareholders
 4. Which of the following are key features of a planned economy?
 - I. Centralized production.
 - II. Citizens' welfare is primary.
 - III. Little government interference.
 - (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
 5. In which of the following types of economic systems does the government make all decisions?
 - (A) Mixed
 - (B) Capitalist
 - (C) Command
 - (D) Subsistence
 6. The MAIN purpose of installing a suggestion box in a company is to get workers' views on
 - (A) each other
 - (B) other companies
 - (C) ways of improving the workplace
 - (D) ways of improving economic conditions
- Item 7 refers to the following information.
- Mr Lloyd, manager of LM Ltd, holds regular staff meetings to listen to ideas from employees before making decisions that would affect the future of the company.
7. What leadership style does Mr Lloyd employ?
 - (A) Autocratic
 - (B) Democratic
 - (C) Charismatic
 - (D) Laissez-faire

Item 8 refers to the following information which shows a section of a typical vertical organizational chart for a manufacturing company.



8. The relationship between the highest level of management down to the various departments is known as

(A) line
(B) rank
(C) staff
(D) flow

9. Which of the following demonstrates the characteristics of a good leader?

I. Inspires workers
II. Delegates responsibilities
III. Makes intelligent decisions

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

10. Which of the following departments is **LIKELY** to use its management information system (MIS) to manage information about customers and their response to the products it sells?

(A) Finance
(B) Marketing
(C) Production
(D) Human resource

11. Which of the following is NOT a function of management?
- (A) Providing accommodation for employees
 - (B) Coordinating the work of employees
 - (C) Delegating work to subordinates
 - (D) Controlling the use of funds
12. The condensed version of the business plan is contained in the
- (A) executive summary
 - (B) keynote summary
 - (C) marketing plan
 - (D) feasibility plan
13. Which of the following is a regulatory issue for the entrepreneur?
- (A) Using a credit card to transact business
 - (B) Offering hire purchase options to customers
 - (C) Paying national insurance to the government
 - (D) Advertising the business locally and regionally
14. A firm may change its main objectives from profit to market share if there is an increase in
- (A) government regulations
 - (B) competition in the market place
 - (C) the cost of utilities and overheads
 - (D) the use of technology in the organization
15. Which of the following is NOT an example of an unethical business practice?
- (A) Money laundering
 - (B) Nonpayment of taxes
 - (C) Misleading advertisements
 - (D) Retrenching inefficient workers
16. Which of the following are examples of secondary sources of data?
- I. Company records
 - II. Former employees
 - III. Government census
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
17. Which of the following factors prevents an agreement from being considered a valid contract?
- (A) Consideration
 - (B) Legal purpose
 - (C) Misrepresentation
 - (D) Offer and acceptance
18. A contract may be discharged by
- (A) breach
 - (B) change of mind
 - (C) inconsideration
 - (D) misappropriation
19. A 'purchase order' is a
- (A) request for additional goods
 - (B) notification of goods received
 - (C) statement of outstanding debts
 - (D) document offering to buy goods
20. Which of the following types of cheques allows an individual to receive cash on demand?
- (A) Open
 - (B) Crossed
 - (C) Certified
 - (D) Banker's

21.

The term 'human resources' refers to

- (A) materials and goods made by human beings
- (B) capital invested by shareholders in a company
- (C) raw materials used in the manufacture of goods
- (D) persons available for productive and professional services

22.

Joseph has decided to leave his homeland of Jamaica to go to the USA in search of a better life. This movement is referred to as

- (A) 'brain drain'
- (B) early migration
- (C) internal migration
- (D) external migration

Item 23 refers to the following information.

Mrs Brown receives a job offer from a company in Barbados. In order to take up this job, she decides to leave her home country of Trinidad and move permanently to Barbados.

23. In Trinidad, Mrs Brown would be referred to as

- (A) a refugee
- (B) an emigrant
- (C) an immigrant
- (D) a travelling officer

24. Which of the following are examples of fixed capital?

- (A) Cash balances
- (B) Bank balances
- (C) Plant and machinery
- (D) Stocks of raw material

25.

Productivity can be measured by

- (A) $\frac{\text{Inputs}}{\text{Outputs}}$
- (B) $\frac{\text{Inputs}}{\text{Revenue}}$
- (C) $\frac{\text{Revenue}}{\text{Outputs}}$
- (D) $\frac{\text{Outputs}}{\text{Inputs}}$

26.

In the Caribbean, many people are hired for sugarcane farming and very little equipment is used. This industry can BEST be described as

- (A) labour intensive
- (B) capital intensive
- (C) having low capital input
- (D) having high capital input

27.

Which of the following commodities is product of the manufacturing industry?

- (A) A car
- (B) Gold
- (C) Lumber
- (D) A house

28.

In economics, a 'market' is BEST described as

- (A) the reason for the elimination of barter
- (B) a situation in which buyers and sellers interact
- (C) a place where various types of fruits and vegetables are sold
- (D) the management process responsible for satisfying consumers' demands



GO ON TO THE NEXT PAGE

29. Under which of the following conditions is a trade discount used?
- (A) Bulk purchases
 - (B) Prompt payment
 - (C) Payment by cash
 - (D) First-time buyers
30. The producers of Power Drink promote their drink over Energy Plus Drink in their advertisements. This type of advertisement is referred to as
- (A) collective
 - (B) persuasive
 - (C) informative
 - (D) competitive
31. Which of the following is NOT a function of a retailer?
- (A) Preparing goods for resale
 - (B) Selling goods in small quantities
 - (C) Providing a local supply of goods
 - (D) Transporting goods to suitable storage facilities
32. A situation whereby a business gains editorial space without having to pay for it is called
- (A) publicity
 - (B) marketing
 - (C) advertising
 - (D) discounting
33. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the prices paid for their goods
 - (C) at current prices, the amount buyers wish to buy equals the amount sellers want to sell
 - (D) at the ruling market price, buyers do not want to add to the stock of goods they already have
34. Which of the following terms describes a market consisting of a large number of producers and consumers?
- (A) Oligopoly
 - (B) Monopoly
 - (C) Perfect market
 - (D) Imperfect market
35. Which of the following are characteristics of the stock market?
- (A) Costs and prices
 - (B) Risks and benefits
 - (C) Rent and investment
 - (D) Premium and reward
36. Tom invests his savings by buying shares in a company. From this investment, Tom expects to receive
- (A) dividends
 - (B) revenue
 - (C) interest
 - (D) profits

37. Mr Jones has several bills of fixed amounts to pay each month. His bank manager agreed to pay them monthly from Mr Jones' account. This service provided by the bank is referred to as

(A) an overdraft
(B) a fixed deposit
(C) a standing order
(D) a letter of credit

38. Ms Anne would like to protect her passport, birth certificate and jewels. Which of the following commercial bank services should she use?

(A) Credit card
(B) Cash dispenser
(C) Night safe facilities
(D) Safety deposit facilities

39. Which of the following entities can have their shares traded on the stock exchange?

(A) Partnerships
(B) Public companies
(C) Private companies
(D) Co-operative societies

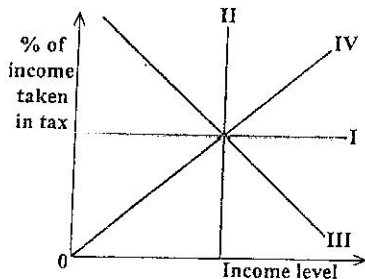
40. A debenture holder is one who

(A) is paid a fixed rate of interest if the company makes profits
(B) must be paid any amounts owing to him in the following year
(C) has first claim on any profits and is paid a fixed rate of dividend
(D) is entitled to a fixed rate of interest whether or not the company makes profits

41. Governments offer subsidies to businesses to

(A) force them to pay corporation tax
(B) reduce costs and ultimately prices
(C) increase costs and ultimately prices
(D) increase the price of imported goods

Items 42–43 refer to the following diagram which shows the percentage of income taken in tax at different levels of income.



42. Which curve shows a progressive tax?

(A) I
(B) II
(C) III
(D) IV

43. Which curve shows a regressive tax?

(A) I
(B) II
(C) III
(D) IV

44. Which of the following actions by a government is MOST likely to lead to an improvement in the standard of living?
- (A) Printing more money
 - (B) Increasing the income tax rate
 - (C) Abolishing taxes on low incomes
 - (D) Giving tax incentives to businesses
45. A 'price control' may be defined as a
- (A) tax on goods and services
 - (B) government ban on imports
 - (C) grant given to producers to reduce their prices
 - (D) government limit on the price of goods or services
46. Which of the following groups stand(s) to benefit MORE from a stable level of prices?
- (A) Consumers
 - (B) Workers
 - (C) Society
 - (D) Firms
47. Which of the following forms of taxation is imposed on goods produced in a country?
- (A) Excise duty
 - (B) Preference duty
 - (C) Excise drawback
 - (D) Customs drawback
48. Visible trade examines the difference between a country's
- (A) imports and exports of services only
 - (B) imports and exports of goods only
 - (C) current account and capital account
 - (D) output method and expenditure method
49. Which of the following practices would contribute to the economic growth and development of a country?
- (A) Increased importation of consumer goods
 - (B) Decreased use of the country's natural resources
 - (C) Exporting skilled personnel to developed countries
 - (D) Provision of loans and technical assistance for establishing local businesses
50. Education contributes to economic growth by ensuring that the workforce is highly
- (A) mobile
 - (B) efficient
 - (C) classified
 - (D) structured
51. A limit to the quantity of goods that citizens of a country are allowed to buy from overseas is called an
- (A) import duty
 - (B) export duty
 - (C) export quota
 - (D) import quota
52. Which of the following, when increased, does NOT contribute to an improved standard of living in a country?
- (A) Capital goods
 - (B) Disposable income
 - (C) The country's population
 - (D) Investment in technology

58. Which of the following represents the correct stages in the development of the CARICOM Single Market and Economy (CSME)?

- (A) CARIFTA → Federation → CARICOM → CSME
 - (B) CARIFTA → CARICOM → Federation → CSME
 - (C) Federation → CARIFTA → CARICOM → CSME
 - (D) Federation → CARICOM → CARIFTA → CSME
-

59. In periods of inflation, the ability to raise additional capital for expansion is MOST likely to be a problem for

- (A) sole traders
- (B) partnerships
- (C) public companies
- (D) multinational corporations

60. Unemployment caused by a downturn in the economy is referred to as

- (A) cyclical
- (B) seasonal
- (C) frictional
- (D) structural

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.